

The Shift from Construction Equipment Ownership to a Mix of Ownership and Access



The construction equipment industry has traditionally operated on an ownership model, with contractors and construction companies investing heavily in excavators, cranes, loaders, earthmoving equipment, and other heavy machinery. For these contractors and construction companies, it was not just about purchasing the machinery but financing, maintaining, repairing, storing, and keeping it ready for the next project. Owning a fleet of equipment epitomized a contractor's capability, capacity, and control.

Traditional Ownership Model

This traditional ownership model made sense in a construction environment where equipment availability was critical and projects were relatively predictable. But with changing construction economics, equipment is becoming more expensive, financing costs are rising, and maintenance, depreciation, and storage add to the cost of keeping a fleet. More variable projects and uncertain project pipelines have put contractors under increasing pressure to manage working capital while staying flexible enough to respond to

changing market demand. All of this is making equipment ownership more difficult to justify in some situations.

The fundamental question is therefore beginning to change: Do construction companies really need to own the equipment they use or do they just need reliable access to the equipment when they need it? The shift is already becoming visible across the industry. According to EquipmentWatch's 2025 State of the Construction Equipment Economy report, 71% of equipment owners also rented equipment in the past year, indicating that rental is increasingly being used alongside owned equipment rather than replacing it. Further, according to Construction Equipment's 2025 Fleet Outlook, 23.7% of surveyed fleet managers planned to rent or lease additional machinery rather than make new purchases.

As the construction equipment industry evolves, contractors are looking at equipment ownership differently. Long viewed as an essential investment, it is increasingly being considered in terms of how often the equipment is used, how much capital it ties up, and how much flexibility it provides.

India Shift

This shift is particularly relevant in India, where a large and growing infrastructure pipeline is creating demand for equipment across a wide range of projects and locations. India is entering a period of significant infrastructure growth, with speed, efficiency and scale of project execution becoming increasingly important. Large-scale investments across highways, railways, airports, urban development, renewable energy, and industrial projects are driving project activity alongside the need for construction equipment. According to a 2026 Mordor Intelligence study, India's construction equipment rental market is estimated at \$14.31 billion in 2026 and is projected to reach \$18.33 billion by 2031, representing a 5.07% CAGR. The study also estimates that infrastructure accounted for 54.02% of rental-market revenue in 2025, underlining the growing role of rental in supporting infrastructure development.

However, simply increasing access to equipment is not enough. In India, infrastructure projects can span multiple locations and involve demanding timelines, making timely access to the right equipment critical to project execution. With projects becoming more complex in nature, contractors and project developers may require specialized equipment such as crawler cranes, excavators, piling rigs, vibro hammers, road pavers, graders, concrete pumps and telehandlers often for specific stages of their projects rather than throughout the entire project lifecycle. As a result, fleet availability, equipment reliability,

preventive maintenance, mobilization capability, skilled operators, technical support and geographic reach become important considerations when choosing a rental partner.

Technology as a Differentiator

Digital technologies are adding another dimension to this shift. Telematics, fleet tracking, utilization analytics and predictive maintenance can help equipment rental companies improve asset productivity, monitor equipment performance, and reduce downtime, while providing customers greater visibility into how their equipment is being used. These capabilities could become an important differentiator as the Indian equipment rental market becomes more organized.

Conclusion

Equipment rental should not be viewed simply as an alternative to equipment ownership, but as a strategic enabler of infrastructure execution. The construction equipment industry is not moving from ownership to rental, but from ownership-only to a combination of ownership and access. As contractors become more selective about what they want to own, rental is emerging as a flexible pathway to access equipment when and where it is needed. This is creating a strategically important role for equipment rental providers across the construction ecosystem, given the increasing complexity of projects and specialized equipment needs. India is a significant part of this shift, with its infrastructure growth creating strong demand for timely and reliable equipment access. Looking ahead, the construction equipment industry will be less about owning every machine and more about having access to the right equipment at the right time.